

## Justification for Other Than Full and Open Competition, Extension

U.S. General Services Administration

GSA Region 09 Leasing

Real Estate Acquisition Division

### JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

PROJECT NUMBER: 2CA1571

Agency Name: [REDACTED]

1. **NATURE AND/OR DESCRIPTION OF ACTION BEING APPROVED.**

The General Services Administration currently leases 34,787 ABOA/34,860 rentable square feet (RSF) of warehouse space at San Mateo South City Warehouse, 1070 San Mateo Ave. South San Francisco, CA under lease number LCA02452 for [REDACTED]. The current lease expires June 30, 2025. Approval is requested to negotiate a lease extension with the incumbent Lessor without full and open competition for continued occupancy at this leased location. The procedures for pursuing a lease extension are detailed in GSAR 570.405: Lease extensions.

2. **DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS (INCLUDING ESTIMATED VALUE).**

The government requires an extension of the current lease for 36 months to commence on July 1, 2025. The estimated cost of this lease extension is [REDACTED] rentable square feet per year for an annual cost of [REDACTED] and a total contract value of [REDACTED].

3. **IDENTIFICATION OF STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION.**

41 U.S.C. 3304(a)(1): Only one responsible source and no other supplies or services will satisfy agency requirements. This statutory authority is implemented through GSAR 570.405. In accordance with GSAR 570.405, use of the sole source authority is appropriate when the government experiences a delay in acquiring replacement space.

- ☐ The agency occupying the leased space is scheduled to move into other Federally controlled space, but encounters unexpected delays in preparing the new space for occupancy
- ☒ The government encounters unexpected delays outside of its control in acquiring replacement space
- ☐ The government is consolidating various agencies and the contracting officer needs to extend the terms of some leases to establish a common expiration date
- ☐ The agency occupying the space has encountered delays in planning for a potential relocation to other federally controlled space due to documented organizational, financial, or other uncertainties

4. **DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACQUISITION REQUIRES THE USE OF THE AUTHORITY CITED.**

It is in the best interest of the Government to remain at the current location during the extension period. [REDACTED] has indicated a continuing need for a 3 year extension for approximately 34,787 ABOA square feet of warehouse space. GSA is pursuing an

Revised Nov 2023

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

extension to protect [REDACTED] tenancy. GSA attempted to obtain [REDACTED] long term requirements 42 months prior to lease expiration but [REDACTED] was not prepared to submit timely requirements. In the interim, GSA is pursuing an extension to protect [REDACTED] tenancy. Upon receipt of [REDACTED] long term requirements GSA will pursue a new long term lease at a new location.

Award to other than the current Lessor would require relocation of the entire requirement and would cause the DEA to incur move and replication costs that would not be recovered through competition.

**5. DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE.**

In accordance with GSAM 570.106(d) and 570.405, an advertisement is not required for extensions.

**6. DEMONSTRATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.**

Recent market research conducted by the Lease Contracting Officer in South San Francisco, CA showed the rental rate within the market area ranges from [REDACTED] to \$58.16.

Therefore, the average anticipated rental rates for this lease extension of [REDACTED] within the current market range for this submarket and are deemed fair and reasonable by the GSA Lease Contracting Officer.

**7. DESCRIPTION OF MARKET RESEARCH CONDUCTED AND THE RESULTS.**

On February 5, 2024, market research was conducted using [REDACTED] and LCA11026. The market research showed the rental rate within the market area ranges from [REDACTED]

**8. OTHER FACTS SUPPORTING USE OF OTHER THAN FULL AND OPEN COMPETITION.**

Remaining at the current location under a 36 month extension avoids a holdover and allows the Government to continue operations without disruption.

**9. LIST OF SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.**

N/A

**10. STATEMENT OF ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION.**

There are no systemic barriers to competition. If the agency has a continuing need for space upon lease expiration, GSA will follow all authorities, regulations and policies applicable to lease acquisition. Should there be remaining useful life in the Government's tenant improvements, the Government will consider the cost of moving from the existing location, and the cost to build out new space when deciding whether to undergo a competitive action.

Additionally, objective scrutiny will be given to the customer agency's mission and security requirements (if applicable) to eliminate unnecessary agency space requirements that may be deemed unduly restrictive.

**11. CONTRACTING OFFICER CERTIFICATION.**

By signature on this Justification for Other than Full and Open Competition, the GSA Lease Contracting Officer certifies that the award of a succeeding lease of [amount of space] RSF is in the Government's best interest and that this Justification is accurate and complete to the best of the GSA Lease Contracting Officer's knowledge and belief.

*Revised Nov 2023*

[illegible][illegible]

\_\_\_\_\_

DocuSigned by:  
[Redacted Signature]  
88552320478C48B... Date 10/22/2024  
Pedro Zepeda, Lease Contracting Officer

12. PREPARER'S TECHNICAL CERTIFICATION.

I certify that the supporting data used to form the basis of this Justification is complete and accurate to the best of my knowledge and belief.

DocuSigned by:  
[Redacted Signature]  
10074DCEA86F48B... Date 10/22/2024  
Jose Chaires, Leasing Specialist

CONCUR:

Signed by:  
[Redacted Signature]  
1000033473EE476... Date 10/23/2024  
David Schnayer, Area Manager

DocuSigned by:  
[Redacted Signature]  
88552320478C48B... Date 10/25/2024  
Pedro Zepeda, Branch Chief

DocuSigned by:  
[Redacted Signature]  
0FFE2008AF084A1... Date 10/28/2024  
Jessica Escobedo  
R9 Leasing Advocate for Competition

DocuSigned by:  
[Redacted Signature]  
2D32A42E05B4481... Date 10/28/2024  
Katrin Dronskiy, Acting Director  
Real Estate Acquisition Division

DocuSigned by:  
[Redacted Signature]  
F45207A07000487... Date 10/28/2024  
Aaron Zambrano,  
R9 Assistant Regional Counsel

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

DocuSigned by:

[Redacted Signature]

Date 10/28/2024

Amanda Sweeney  
Deputy Regional Commissioner

DocuSigned by:

[Redacted Signature]

Date 10/29/2024

APPROVED:

Dan R. Brown, HCA  
Regional Commissioner  
Public Buildings Service  
Pacific Rim Region

[REDACTED]

[REDACTED]